Module 8: Financial Budgeting

Start here — Marvell

Read before class (5–8 minutes): the three facts and three terms below. The full blog, company summary, filing, and detailed role pages are optional depth unless a specific passage is assigned.

In class: review the worked example, explain the decision in your own words, then read only your assigned role in the student packet. Four leads make decisions; the Account Manager integrates them. The packet works without SkillSimm access.

Three essential facts

- Foundry and assembly commitments total $2,665.8 million; $1,871.8 million falls in fiscal 2027.
- One distributor accounts for 37% of revenue.
- The reported net margin includes a one-time gain on a business sale; it is not the operating margin.

Three terms

- Committed: spending already obligated, with an exit cost.
- Sticky: spending that is difficult to reduce quickly without damage.
- Flexible: spending that can be adjusted relatively quickly.

Worked example — discuss before opening the simulation

Illustrative startup: sort a signed annual lease, a specialist team, and next month's optional advertising. Now reduce forecast sales by 20% and explain which expenses can actually change.

Readiness check: If sales fall next month, which costs remain and what would stopping them cost? Ask a teammate to explain the task back before starting.

What you produce

- **During the simulation:** one decision in words, one supporting figure or passage, one trade-off, and one condition that would change your mind.
- **Account Manager:** rank the four lead decisions 1–4 and allocate 100 priority points in blocks of 10; explain the first priority with evidence. These are priority weights, not course-grade points.
- **Before leaving:** save your individual decision record. If you finish early, start the venture workshop below.
- **After discussion:** submit your individual reflection through the existing HuskyCT assignment. See the reflection guide. Keep the current deadline; from October 20 onward, aim for 300–500 words.

Thursday venture workshop — 15–20 minutes

Classify five venture expenses as committed, sticky, or flexible. State their stopping costs and recalculate the budget with revenue 20% below your base case.

Output: A spending table and downside scenario for Final Section E. Add it to your shared project document; this is preparation for the project, not a new separately graded assignment.

Debrief question: What did discussion change about your original decision? Explain the evidence, rather than reporting only an option letter.

Takeaway: Budget against the speed at which costs can change, not only expected revenue.

Class rhythm

- **Tuesday (75 minutes):** 10 minutes concept and example; 5 minutes task walkthrough; 10 minutes role reading; 25 minutes decisions and team discussion; 15 minutes comparison; 10 minutes saving evidence and starting the venture application.
- **Thursday (75 minutes):** 10 minutes concept recap; 35 minutes selected role discussion and feedback; 20 minutes venture workshop; 10 minutes decision record and reflection questions.

Read instructions aloud slowly, pause after each step, and invite a student to restate what must be produced. Use the static packet and shared notes if the platform lags; resume the discussion without waiting on the tool.

Access after class

The accompanying StudentPacket.html / .pdf and Debrief.html / .pdf can be opened without joining a simulation group. Save the packet and your own record before leaving. The same resources are linked from the deployed slide folder.